

Pidilite Industries Ltd

Investment Rating : Excellent

Company Overview

Website	http://www.pidilite.com/
Sector	nan
Market Cap	162,274.18 Cr
PE Ratio	36.12
PB Ratio	12.3
Dividend Yield	1.01 %

Financial Quality

ROE	22.8
ROCE	29.7
CFO Quality	High Quality
FCF CAGR	10.20%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Growth Focused
Debt Trend	Deleveraging
Leverage	Low

Business Overview

Pidilite Industries Limited is a leading manufacturer of adhesives and sealants, construction chemicals, craftsmen products, DIY products and polymer emulsions in India. Most of the products have been developed through strong in-house R&D.; Our brand name Fevicol has become synonymous with adhesives to millions in India and is ranked amongst the most trusted brands in the country

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Revenue growing slower than profits shows improving operating leverage and scale benefits.
Growing asset base funded by internal accruals reflects self-sustaining growth.

Risks

No significant financial weakness identified, however future performance should continue to be monitored.